Sequential Validation of Investment Policies: Trading Costs, Moment Information, and the Cost of Waiting

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Abstract

An investment signal should be evaluated through the portfolio it changes, including estimation error and the cost of reaching that portfolio. We study sequential comparisons between implementable policies under quadratic utility, proportional turnover costs and quadratic market impact. A Catoni supermartingale validates a single adaptive comparison with a certified conditional second-moment bound. Under a constant positive conditional mean, past-only blockwise betting incurs logarithmic expected regret in a quadratic growth certificate and admits a finite-sample power bound. Convex analysis characterizes the population value of adding a signal, while a uniform perturbation argument connects that value to estimated policies with separate trading states. A single simulated market combines persistent, weak, decaying and reviving predictors with structural noise and correlated proxies. The protocol explicitly separates individual-test validity, economic decision quality and portfolio performance. Its uniform risk certificate and annual decision bottleneck can make validation economically slow. We report executed diagnostics without presuming superiority, global error control or a theorem of adaptation to changing regimes. A declared extension combines observable policy geometry with bias-corrected tail betting under eighth return moments; fixed-reference and full-fund experiments distinguish feasible certification from its economic waiting costs.

Keywords: sequential inference; investment signals; e-processes; transaction costs; portfolio estimation; simulation.

1 Introduction

A portfolio manager faces three related decisions: whether to add a signal, park an incumbent signal, or replace one signal with another. The economically relevant object is the change in a feasible investment policy. A predictor's own coefficient, its standalone performance and its contribution to a portfolio are different quantities. A signal without a direct predictive coefficient may hedge an incumbent exposure or proxy another characteristic. Conversely, an authentic predictor may worsen a portfolio when estimated weights and trading costs are taken into account.

We formulate these decisions as comparisons of two policies constructed before the returns used to evaluate them. Each policy pays its own trading costs and keeps its own allocation state. Their observable utility difference feeds a heavy-tail-robust e-process. An annual search proposes additions, removals and a restricted set of swaps; the test evaluates those proposals. This separation allows one to ask both whether the statistical comparison is valid and whether waiting for its evidence is worthwhile. We call the annual add–remove–swap implementation PARK/REVIVE; its name describes available actions, not a guarantee of adaptation to a new regime.

The analysis has four parts. First, a conditional supermartingale argument establishes validity for an individual adaptive episode. Second, a stationary alternative yields an oracle

lower bound on power and a logarithmic cost for estimating the bet. Third, a residual marginal utility and a Schur complement bound the population benefit of entry under trading costs. Fourth, objective perturbations control the gap between population values and estimated-policy comparisons, including the effect of different previous allocations.

The statistical ingredients build on Catoni-style confidence sequences [1] and the broader theory of safe anytime-valid inference [2]. Sequential comparison of forecast scores is developed by [7] and [8]; the latter also treats a weak null about average conditional score differences. Our T1 uses the datewise conditional-mean null stated below. It does not establish validity for that broader weak null. All sleeve returns are observed, so the present setting permits full-information counterfactual score calculation rather than requiring off-policy importance weights. We specialize these comparisons to estimated constrained portfolios, separate trading states and explicit moment certificates. The economic optimization uses the convex trading perspective of [3]. The present contribution is the explicit connection of these components to comparisons of estimated investment policies with separately accounted trading states. We do not claim a new general e-process construction or a new general Schur-complement identity.

Portfolio evaluation of characteristics with risk and trading costs already appears in [9]; its stock-level trading-netting mechanism is outside our sleeve-turnover cost model. [10] develops GMM inference for transaction-cost effects under recursive utility. E-process applications in finance include risk-forecast backtesting [11] and comparative risk-measure backtests [12]. These precedents preclude a claim that either economic signal evaluation or sequential financial comparison is new. The contribution studied here is their specialization to observable policy-pair scores with separate allocation states, explicit public moment certificates and an assessment of the cost of waiting. General instance log optimality and rejection-time theory for portfolio-based e-processes are developed in [13]; the portfolios there allocate statistical betting capital. Our investible portfolios generate utility scores, and T2 below is only a bound on a quadratic growth certificate, not an instance optimality result.

Multiple testing remains a separate issue. The financial significance of searching among many predictors is emphasized by [4]. Our specified algorithm deliberately applies no correction across candidates or episodes; its individual 5% guarantee is therefore not a 5% guarantee for the entire search. Nor does an episode rejection certify that a previously profitable signal remains profitable in the current regime.

An explicit counterexample below makes this distinction operational: an annual decision can pass both the evidence threshold and the positive-history filter while the current gain is negative.

2 The economic object

Let $A_{t+1} \in \mathbb{R}^p$ be next-period gross returns of observable signal sleeves. Investor information $\mathcal{G}_t$ contains observed characteristics and returns, published risk caps, policy states and past algorithmic decisions, but no supplied hidden market state or future shock. Allocations w_t, previous targets b_t and bets are $\mathcal{G}_t$-measurable. In the mathematical results, $\mathcal{F}_t \supseteq \mathcal{G}_t$ denotes the specified pre-return conditioning filtration; it may equal $\mathcal{G}_t$. The simulation evaluator uses an enlarged filtration also containing current latent coefficients and the current regime, but no future innovations. Its state-conditioned oracle moments need not equal the learner's conditional moments given $\mathcal{G}_t$. Define

$$C_t(w, b) = c\|w - b\|_1 + \frac{\eta}{2}(w - b)'\Lambda_t(w - b), \tag{1}$$

$$U_{t+1}(w; b) = w'A_{t+1} - \frac{\gamma}{2}(w'A_{t+1})^2 - C_t(w, b), \tag{2}$$

$$J_t(w; b) = w'\mu_t - \frac{\gamma}{2}w'M_t w - C_t(w, b), \tag{3}$$

where $\mu_t = \mathbb{E}[A_{t+1} \mid \mathcal{F}_t]$ and $M_t = \mathbb{E}[A_{t+1}A'_{t+1} \mid \mathcal{F}_t]$. We require $\gamma > 0$, $c, \eta \geq 0$ and $\Lambda_t \succeq 0$. Whenever the expectations exist,

$$\mathbb{E}[U_{t+1}(w; b) \mid \mathcal{F}_t] = J_t(w; b). \tag{4}$$

This follows by conditional linearity and the raw-second-moment identity. The conditional null and moment assumptions below must hold for the same chosen filtration. The analytic public envelopes hold also for the enlarged simulation filtration and therefore, by the tower property, for the investor filtration. Economic event labels use the former; they do not establish the truth or falsity of the investor-filtration episode null.

The raw second moment is essential: $M_t = \Sigma_t + \mu_t\mu'_t$. Replacing M_t by covariance removes the term $\gamma(w'\mu_t)^2/2$ and changes the objective. Trading costs are subtracted after applying the quadratic score to gross returns. Squaring net returns would also define another objective. Quadratic utility is a scoring criterion; it is not globally increasing over unbounded returns.

For a support $S \subseteq [p]$, let

$$\mathcal{W}(S) = \{w : \mathrm{supp}(w) \subseteq S,\ \|w\|_1 \leq L\}, \qquad V_t(S; b) = \max_{w \in \mathcal{W}(S)} J_t(w; b). \tag{5}$$

The empty support permits only $w = 0$. Thus $V_t(\varnothing; 0) = 0$, whereas $V_t(\varnothing; b) = -C_t(0, b)$: liquidation is not free. For $S \subseteq B$, feasible-set inclusion gives $V_t(B; b) \geq V_t(S; b)$ at the same state. This does not imply that an estimated policy with additional signals improves realized or conditional utility.

The implementation uses $b_t = w_{t-1}$, previous target allocations across sleeves. This stylized allocator-turnover model does not reconstruct trades inside each sleeve. Its net return for wealth and Sharpe calculations is $r^{net}_{t+1} = w'_t A_{t+1} - C_t(w_t, b_t)$; its utility remains (2). Daily returns are decimals, c is utility per unit of gross allocation change, $\eta\Lambda_t$ is quadratic cost curvature and γ is quadratic return curvature.

3 Comparison episodes and the information protocol

An episode is identified by its start τ, reference support S, candidate support B, learning rule, cost parameters and state convention. A forward move sets $B = S \cup \{j\}$; a removal sets $B = S \setminus \{j\}$; a swap sets $B = (S \setminus \{i\}) \cup \{j\}$. All use the same orientation,

$$Y_{t+1} = U_{t+1}(B) - U_{t+1}(S). \tag{6}$$

The removal candidate is the policy without the incumbent signal.

At episode inception, the two shadow policies start from the fund's same actual allocation. Thereafter, each shadow keeps its own previous target and pays its own turnover and impact. Selecting a candidate changes the fund's support; its next target is recomputed from the fund's actual previous allocation. The shadow's accumulated positions are not transferred to the fund.

Estimation uses expanding observations and is refreshed annually. Evidence uses only utility scores realized after the episode starts. A routine refit of a predeclared adaptive policy does not rewrite its old scores. Changing the reference support closes its comparisons and opens new episodes, initialized at one, on future observations. Expanding estimation and accumulating test evidence are distinct operations.

4 Individual sequential validity

We test the episode null

$$H_0 : \quad \mathbb{E}[Y_t \mid \mathcal{F}_{t-1}] \leq 0 \quad \text{at every episode date.} \tag{7}$$

This is stronger than a statement about the unconditional historical average. Let $v_t^2 > 0$ be predictable with $\mathbb{E}[Y_t^2 \mid \mathcal{F}_{t-1}] \le v_t^2$. Define the odd Catoni function

$$\phi(x) = \operatorname{sign}(x) \log(1 + |x| + x^2/2). \tag{8}$$

It satisfies, for all real x,

$$e^{\phi(x)} \le 1 + x + x^2/2, \quad e^{-\phi(x)} \le 1 - x + x^2/2, \quad \phi(x) \ge x - x^2/2. \tag{9}$$

Indeed $(1 + x + x^2/2)(1 - x + x^2/2) = 1 + x^4/4 \ge 1$; the first two inequalities follow by considering the sign of x. The last follows from $\phi(x) \ge -\log(1 - x + x^2/2) \ge x - x^2/2$.

For predictable $\lambda_t \ge 0$, set

$$L_{\tau,t} = \sum_{s=\tau+1}^{t} \{\phi(\lambda_s Y_s) - \lambda_s^2 v_s^2/2\}, \qquad E_{\tau,t} = \exp(L_{\tau,t}). \tag{10}$$

The implementation stores L and compares it with $\log(1/\alpha)$.

Theorem 1 (T1: conditional episode validity)**.** *Let τ be an almost surely finite stopping time and let the comparison rule be chosen using $\mathcal{F}_\tau$. Under (7) and the stated conditional second-moment bound, $E_{\tau,t}$ is a nonnegative supermartingale starting at one. For $0 < \alpha < 1$,*

$$\mathbb{P}\left(\sup_{t \ge \tau} E_{\tau,t} \ge 1/\alpha \mid \mathcal{F}_\tau\right) \le \alpha. \tag{11}$$

The bound also holds when decisions are restricted to annual revisions.

Proof. For $Q_t = \exp\{\phi(\lambda_t Y_t) - \lambda_t^2 v_t^2/2\}$,

$$\begin{aligned}\mathbb{E}[Q_t \mid \mathcal{F}_{t-1}] &\le e^{-\lambda_t^2 v_t^2/2}\{1 + \lambda_t \mathbb{E}[Y_t \mid \mathcal{F}_{t-1}] + \lambda_t^2 \mathbb{E}[Y_t^2 \mid \mathcal{F}_{t-1}]/2\} \\ &\le e^{-\lambda_t^2 v_t^2/2}(1 + \lambda_t^2 v_t^2/2) \le 1.\end{aligned}$$

Multiplying by past capital proves the supermartingale property. Stop at the first threshold crossing or a finite horizon. Conditional expectation of stopped capital is at most one, and crossing requires capital at least $1/\alpha$. Conditional Markov and then monotone convergence of the crossing events prove the result. Annual crossings form a subset of all crossings. □

The theorem permits past-based candidate choice, annual refitting and estimated bets. It does not combine validity across different comparisons or restarts. A useful anytime p-value for the same episode is $\min\{1, 1/\max_{s \le t} E_{\tau,s}\}$. Thus the relevant contrast with the benchmark is sequentially valid inference versus repeated uncorrected fixed-time inference, rather than e-values versus every possible p-value procedure. The operational decision uses current annual evidence, not a stale historical maximum.

Proposition 2 (Episode evidence does not certify the current sign)**.** *Even with a valid moment bound and positive episode mean, an annual rejection can occur when the current conditional gain is negative.*

Proof. Consider a deterministic 252-date episode, with $Y_t = 1/2$ for the first 200 dates and $Y_t = -1/2$ for the remaining 52. The valid second-moment bound $\nu^2 = 1$ and a predeclared first-block bet $\lambda = .1$ give $L_{252} = 148\phi(.05) - 252(.1)^2/2 > 6 > \log 20$. The episode mean is $74/252 > 0$, but $\mathbb{E}[Y_{252} \mid \mathcal{F}_{251}] = -1/2$. The episode null is false, so T1 is not violated; the interpretation as a certificate of current benefit fails. □

The issue is more fundamental for prospective certification without any restriction relating the past to the next period.

Proposition 3 (A limit under unrestricted nonstationarity)**.** *Fix a decision date t and a class of laws closed under replacing the next score by zero while preserving the law of $\mathcal{F}_t$. Let a decision $D_t \in \{0,1\}$ be $\mathcal{F}_t$-measurable. If $\mathbb{P}_Q(D_t = 1) \le \alpha$ for every law Q in the class satisfying $\mathbb{E}_Q[Y_{t+1} \mid \mathcal{F}_t] \le 0$, then $\mathbb{P}_P(D_t = 1) \le \alpha$ for every law P in the class, including alternatives with positive next-period gain.*

Proof. For any P, construct Q with the same distribution on $\mathcal{F}_t$ and $Y_{t+1} = 0$. This replacement respects any positive upper second-moment bound. The prospective null holds under Q. Since D_t depends only on the shared history, $\mathbb{P}_P(D_t = 1) = \mathbb{P}_Q(D_t = 1) \le \alpha$. □

The closure condition deliberately permits unrestricted changes; it need not hold in the specified persistent DGP. The proposition identifies why a uniformly informative certificate of next-period benefit requires temporal structure or a different inferential target. It is not a failure of the episode-wide guarantee in T1, and no novelty claim is attached to this basic observational-equivalence argument.

5 Power and predictable betting

Work in local episode time with blocks of h observations and constant bound ν^2. For the fixed-bet result, assume

$$\mathbb{E}[Y_t \mid \mathcal{F}_{t-1}] \ge \delta > 0, \qquad \mathbb{E}[Y_t^2 \mid \mathcal{F}_{t-1}] \le \nu^2. \tag{12}$$

Write $g(\lambda) = \lambda\delta - \lambda^2\nu^2$ and $\pi_K = \mathbb{P}(\max_{k\le K} E_{hk} \ge 1/\alpha)$.

Theorem 4 (T2a: a fixed-bet power certificate)**.** *For any constant $\lambda \ge 0$,*

$$\pi_K(\lambda) \ge [1 - \alpha^{-1} e^{-hKg(\lambda)}]_+. \tag{13}$$

The exponent is maximized at $\lambda^* = \delta/(2\nu^2)$ with $g^* = \delta^2/(4\nu^2)$. A sufficient horizon for power at least $1-\beta$ is

$$hK \ge \frac{4\nu^2}{\delta^2} \log \frac{1}{\alpha\beta}. \tag{14}$$

Proof. By (9) and (12),

$$\begin{aligned}\mathbb{E}[e^{-\phi(\lambda Y_t) + \lambda^2\nu^2/2} \mid \mathcal{F}_{t-1}] &\le e^{\lambda^2\nu^2/2}(1 - \lambda\delta + \lambda^2\nu^2/2) \\ &\le e^{-\lambda\delta + \lambda^2\nu^2} = e^{-g(\lambda)}.\end{aligned}$$

Iteration gives $\mathbb{E}E_{hK}^{-1} \le e^{-hKg(\lambda)}$. No annual crossing implies $E_{hK} < 1/\alpha$; Markov bounds this probability by $\alpha^{-1}e^{-hKg(\lambda)}$. Maximizing the concave quadratic and solving the inequality for hK finish the proof. □

This maximizes the stated lower certificate, not exact power over all tests. For $g(\lambda) > 0$, the same argument bounds the first annual crossing index T_h by $\mathbb{P}(T_h > k) \le \min\{1, \alpha^{-1}e^{-hkg(\lambda)}\}$. Consequently, with $k_0 = \lceil \log(1/\alpha)/(hg(\lambda)) \rceil$, $\mathbb{E}[hT_h] \le hk_0 + h/(1 - e^{-hg(\lambda)})$. This is not a post-change detection-delay guarantee.

For adaptive bets, strengthen the mean assumption to $\mathbb{E}[Y_t \mid \mathcal{F}_{t-1}] = \delta$ at every date. Let

$$\widehat{\lambda}_k = \Pi_{[0,1/(2\nu)]}\left(\frac{[\widehat{\delta}_{k-1}]_+}{2\nu^2}\right), \qquad \widehat{\delta}_{k-1} = \frac{\sum_{t\le h(k-1)} Y_t}{h(k-1)}, \quad k \ge 2. \tag{15}$$

Set $\lambda_1 = \delta_0/(2\nu^2)$ using a predeclared $0 < \delta_0 \le \nu$. Define

$$R_K = h\nu^2 \sum_{k=1}^{K} (\widehat{\lambda}_k - \lambda^*)^2, \qquad C_K = h\nu^2(\lambda_1 - \lambda^*)^2 + \frac{1}{4}\sum_{k=1}^{K-1} \frac{1}{k}. \tag{16}$$

Theorem 5 (T2b–c: estimation cost and adaptive power)**.** *Under the constant-conditional-mean assumption,*

$$\mathbb{E}R_K \le C_K, \qquad \mathbb{E}\log E_{hK} \ge A_K - C_K, \qquad A_K = \frac{hK\delta^2}{4\nu^2}. \tag{17}$$

For every $r > 0$,

$$\pi_K(\widehat{\lambda}) \ge [1 - C_K/r - \alpha^{-1}e^{-A_K+r}]_+. \tag{18}$$

Taking $r = A_K/2$ yields consistency for fixed $\delta > 0$.

Proof. $Y_t - \delta$ are orthogonal martingale differences, so $\mathbb{E}(\widehat{\delta}_{k-1} - \delta)^2 \le \nu^2/[h(k-1)]$. Jensen gives $\delta \le \nu$; positive-part truncation and projection onto an interval containing the oracle do not increase squared error. Thus $\mathbb{E}(\widehat{\lambda}_k - \lambda^*)^2 \le 1/[4\nu^2 h(k-1)]$. Summing proves the regret bound. The third inequality in (9) gives conditional expected log growth at least $\lambda_t\delta - \lambda_t^2\nu^2$. Complete the square:

$$\lambda\delta - \lambda^2\nu^2 = \frac{\delta^2}{4\nu^2} - \nu^2(\lambda - \lambda^*)^2. \tag{19}$$

This proves the expected growth statement. For power, the inverse-capital argument from T2a shows that

$$Z_T = E_T^{-1} \exp\left\{\sum_{t \le T} (\lambda_t\delta - \lambda_t^2\nu^2)\right\}$$

is a nonnegative supermartingale with expectation at most one. At $T = hK$, $Z_T = E_T^{-1}e^{A_K - R_K}$. Hence

$$\begin{aligned}\mathbb{P}(E_{hK} < 1/\alpha) &\le \mathbb{P}(R_K > r) + \mathbb{P}(Z_{hK} > \alpha e^{A_K - r}) \\ &\le C_K/r + \alpha^{-1}e^{-A_K+r}.\end{aligned}$$

No annual crossing implies the event on the left. Finally $C_K = O(\log K)$ while A_K grows linearly, proving consistency. □

R_K concerns the quadratic growth certificate. It is not asserted to equal the realized log-capital difference from the fixed-bet oracle. In the changing market below, neither a constant effect nor a constant conditional mean is available. T1 still applies when its null is true, but T2b–c cannot be transferred to regime adaptation.

6 The economic value of an additional signal

Fix a date and a common previous state b. In this section only, remove the leverage constraint and suppose $H = \gamma M + \eta\Lambda \succ 0$. Writing $a_0 = \mu + \eta\Lambda b$, the objective up to a constant is $a_0'w - w'Hw/2 - c\|w - b\|_1$. Let w_S^* maximize it on support S and let $j \notin S$ with $b_j = 0$. Define

$$q_j = (a_0)_j - H_{jS}w_S^*, \qquad d_j = H_{jj} - H_{jS}H_{SS}^{-1}H_{Sj} > 0. \tag{20}$$

For empty S, use $q_j = (a_0)_j$ and $d_j = H_{jj}$.

Theorem 6 (T3: entry threshold and marginal-value bounds)**.** *The gain* $\Delta_j = V(S\cup\{j\};b) - V(S;b)$ *satisfies*

$$\frac{[|q_j| - c]_+^2}{2H_{jj}} \le \Delta_j \le \frac{[|q_j| - c]_+^2}{2d_j}. \tag{21}$$

In particular, $\Delta_j > 0$ *if and only if* $|q_j| > c$.

Proof. Optimality on S gives $z_S \in \partial\|w_S^* - b_S\|_1$ with $(a_0)_S - H_{SS}w_S^* = cz_S$. Write a perturbation as (u, x) on (S, j). The subgradient inequality and $b_j = 0$ bound its objective improvement by

$$q_j x - c|x| - \tfrac{1}{2}\{u' H_{SS} u + 2x H_{jS} u + H_{jj}x^2\}.$$

Minimizing the quadratic in u gives $u = -H_{SS}^{-1}H_{Sj}x$ and residual curvature d_j. Maximizing $q_j x - c|x| - d_j x^2/2$ gives the upper bound. Holding $u = 0$ makes the actual improvement exactly $q_j x - c|x| - H_{jj}x^2/2$ and gives the lower bound. Positive denominators then prove the entry characterization. □

When $c = 0$, the subgradient inequality is exact and

$$\Delta_j = \frac{\{(a_0)_j - H_{jS}H_{SS}^{-1}(a_0)_S\}^2}{2\{H_{jj} - H_{jS}H_{SS}^{-1}H_{Sj}\}}. \tag{22}$$

With incumbent weights frozen, the new-coordinate optimizer is $\mathrm{sign}(q_j)[|q_j| - c]_+/H_{jj}$. The quantity that matters is residual marginal utility, rather than standalone expected return. The leverage-constrained simulation solves the full convex problem; these unconstrained formulas are not used as constrained shortcuts.

7 From population values to estimated policies

For a common feasible set, let $w^*(S;b)$ maximize J and $\widehat{w}(S;b)$ maximize $\widehat{J}$. Suppose on an event $\mathcal{A}$,

$$\sup_{w,b} |\widehat{J}(w;b) - J(w;b)| \le \varepsilon. \tag{23}$$

This is an assumption about a specified event; it does not itself establish any probabilistic coverage under a changing market.

Theorem 7 (T4: implementation and marginal-value errors)**.** *On* $\mathcal{A}$*, each implementation loss satisfies* $0 \le \ell(S;b) = V(S;b) - J(\widehat{w}(S;b);b) \le 2\varepsilon$*. For two supports at a common state,*

$$|J(\widehat{w}(B;b);b) - J(\widehat{w}(S;b);b) - \{V(B;b) - V(S;b)\}| \le 2\varepsilon. \tag{24}$$

The same bound holds with separate states b_B, b_S *on the corresponding two values, if* (23) *holds uniformly over those states.*

Proof. Insert the estimated objective at the population and estimated maximizers:

$$\begin{aligned} J(w^*;b) - J(\widehat{w};b) = {} & J(w^*;b) - \widehat{J}(w^*;b) + \widehat{J}(w^*;b) - \widehat{J}(\widehat{w};b) \\ & + \widehat{J}(\widehat{w};b) - J(\widehat{w};b) \le 2\varepsilon. \end{aligned}$$

The middle difference is nonpositive. Population optimality gives the lower bound zero. The marginal error is $\ell(S;b) - \ell(B;b)$, the difference of two numbers in $[0, 2\varepsilon]$. Replacing their states changes none of these steps. □

With support-specific uniform error ε_S and estimated solver suboptimality ξ_S, loss is at most $2\varepsilon_S + \xi_S$. The marginal-error bound becomes the maximum of the two loss bounds. For known costs and $\|w\|_2 \le L$,

$$\varepsilon \le L\|\widehat{\mu} - \mu\|_2 + \frac{\gamma L^2}{2}\|\widehat{M} - M\|_{\mathrm{op}}. \tag{25}$$

If Λ is estimated, add $\eta(L + L_b)^2\|\widehat{\Lambda} - \Lambda\|_{\mathrm{op}}/2$.

The same uniform event separates estimation error from the cost of restricting the portfolio. At the fund's actual state b, let $\widehat{G} = \widehat{V}([p]; b) - \widehat{V}(S; b) \ge 0$ and $R = V([p]; b) - J(\widehat{w}(S; b); b)$. Then

$$|R - \widehat{G}| \le 2\varepsilon. \tag{26}$$

Indeed, $|V([p]; b) - \widehat{V}([p]; b)| \le \varepsilon$ and $|J(\widehat{w}(S; b); b) - \widehat{V}(S; b)| \le \varepsilon$. For waiting in cash, $S = \varnothing$ and $b = 0$, the latter difference is exactly zero, so the bound improves to ε. This does not make $\widehat{G}$ an observable confidence bound: the uniform event still needs justification. It shows how support restriction and waiting can dominate even when estimation error is small. The comparator uses the fund's same current state; comparing two entire traded paths requires accounting for their different states as well.

For the link to a common state, assume $\|w\|_2, \|b\|_2, \|b'\|_2 \le L$ and $\|\Lambda\|_{\mathrm{op}} \le \bar{\Lambda}$. Then

$$|C(w, b) - C(w, b')| \le L_C\|b - b'\|_2, \qquad L_C = c\sqrt{p} + 2\eta\bar{\Lambda}L. \tag{27}$$

The maximum over w preserves this Lipschitz bound. Consequently the shadow policy difference d^{state} satisfies

$$|d^{state} - \{V(B; b_S) - V(S; b_S)\}| \le 2\varepsilon + L_C\|b_B - b_S\|_2. \tag{28}$$

This state term cannot be dropped by invoking support monotonicity.

If $\gamma M + \eta\Lambda \succeq mI$, known identical costs and exact optimization yield a refinement. Let $e = \|\widehat{\mu} - \mu\|_2 + \gamma L\|\widehat{M} - M\|_{\mathrm{op}}$. The estimated first-order variational inequality implies that, along every feasible direction, the true negative objective's subgradient is bounded below by the negative gradient error. Strong convexity gives $\ell \le e\|w^* - \widehat{w}\|_2 - m\|w^* - \widehat{w}\|_2^2/2 \le e^2/(2m)$. In fixed-dimensional independent data with finite fourth moments and no persistent moment bias, expected squared moment errors are $O(n^{-1})$. Neither that rate nor consistency follows from expanding estimation under unrestricted drift.

7.1 Optimization horizon and the economic meaning of a move

The distinction between a one-period objective and a policy's holding value matters even with known moments. The following scalar examples specialize standard cost-aware trading calculations [3] to the comparisons being tested; they are not new solutions to the general dynamic trading problem. There is no terminal liquidation charge in either example, matching the simulation's horizon accounting.

Proposition 8 (Parking can overcome myopic inertia)**.** *Let returns be iid with mean zero, variance $\sigma^2 > 0$ and a finite fourth moment. An incumbent allocation $0 < b \le L$ satisfies $\gamma\sigma^2 b \le c$. With known moments, the one-period optimizer on the full scalar support keeps b forever. Comparing immediate parking at zero with that continuing policy, the expected sum of utility differences over H periods is*

$$H\frac{\gamma\sigma^2 b^2}{2} - cb - \frac{\eta}{2}b^2. \tag{29}$$

The first-period gain is negative, while the holding-period gain is positive if $H > 2c/(\gamma\sigma^2 b) + \eta/(\gamma\sigma^2)$.

Proof. At the unchanged target, the smooth marginal is $-\gamma\sigma^2 b$, within the proportional-cost subgradient band. Concavity therefore makes b optimal for the one-period problem. Repeating that rule preserves its state. Parking pays $cb+\eta b^2/2$ once and then has zero utility; continuing at b has no turnover cost and mean utility $-\gamma\sigma^2 b^2/2$ each period. Subtraction gives (29). Its first-period value is at most $-cb/2 - \eta b^2/2 < 0$ under the stated condition. □

For $\gamma = 5$, $c = \eta = 10^{-4}$, $\sigma = .002$, $b = .5$ and $H = 252$, the deployment-day gain is $-.600$ basis points of utility, while the expected holding-period gain is 5.675 basis points. Thus a negative deployment-day diagnostic is compatible with useful parking. This does not contradict support monotonicity: the comparison is with a repeatedly myopic policy. A dynamically optimized full-support policy could itself choose to liquidate. The two shadow states also differ after parking, exactly the distinction retained in (28). Stationarity here supplies the future holding calculation; an episode rejection alone does not supply it. The continuing rule has zero state-matched one-period oracle regret at every date. Parking has positive regret $cb+\eta b^2/2-\gamma\sigma^2 b^2/2$ on deployment and zero thereafter, yet has higher expected cumulative utility when (29) is positive. State-matched regret measures local implementation efficiency; it cannot replace full-path performance or turn the one-period Oracle into an upper bound on cumulative policy value.

Proposition 9 (A profitable horizon trade can be absent from the tested pair)**.** *Let iid returns with a finite fourth moment have $0 < \mu \le c$ and raw second moment $M > 0$. Starting at zero, the known-moment one-period optimizer remains at zero, so adding the scalar support leaves both comparison policies identically in cash. Yet, if $H\mu > c$, a positive constant position held for H periods can have positive expected cumulative utility after its initial entry cost. Within the class of constant nonnegative positions, its optimum is*

$$b_H = \min\left\{L, \frac{(H\mu - c)_+}{H\gamma M + \eta}\right\} > 0. \tag{30}$$

Proof. The one-period gradient at zero is $\mu \le c$, so the proportional-cost band prevents entry and the state remains zero. A constant position has expected cumulative utility $(H\mu - c)b - (H\gamma M + \eta)b^2/2$. Maximizing this concave quadratic on $[0, L]$ yields (30); its positive right derivative at zero ensures a positive value when $H\mu > c$. □

With $\mu = .00005$, return standard deviation .01 and the same γ, c, η, H as above, $M = .0001000025$, $b_H = .099125$ and the constant-position value is 6.195 basis points of cumulative utility. The one-period comparison still has $Y = 0$. The horizon trade belongs to a different policy rule; valid inference for this zero-score pair does not certify that other rule's value. Horizon-aware candidate construction is compatible with T1 when it is predictable and costs are correctly accounted for, but it would change the financial experiment and is not silently substituted in the reported one-period design.

8 An auditable annual selection rule

All methods use initial training $n_0 = h = 252$, expanding sample moments and annual parameter updates. The estimated second moment is

$$\widehat{M}_\rho = (1-\rho)n^{-1}\sum_{s\le n} A_s A_s' + \rho\,\mathrm{diag}\left(n^{-1}\sum_{s\le n} A_s A_s'\right) + \epsilon I. \tag{31}$$

Shrinkage and ridge are common to methods and frozen before evaluation. Starting from $S = \varnothing$, each block opens all additions, all removals, and swaps using the ten excluded signals

with the largest training marginal values. The shortlist is known before the validating returns. Retained comparisons continue their own evidence; a swap leaving the shortlist closes its episode and starts afresh if later reintroduced.

At a block end, choose the eligible addition with largest positive episode mean score. If none exists, consider removals, then swaps. Ties use stable signal identifiers. Eligibility for PARK/REVIVE requires current $L \geq \log 20$. At most one support change occurs per annual revision. The next block charges its actual transition from the fund's previous target. In a 15-year market with one training year, only 14 structural changes are possible, including any terminal decision without a subsequent realized investment period. Recovering all 45 predictive functions is not possible under this calendar.

For $s = |S|$, a pass considers $p + s\min(10, p - s)$ candidate policies plus the shared reference. This is a count of candidate evaluations, not total runtime. Swap10 is a search heuristic without a global-optimality guarantee.

9 One simulated financial market

For $N = 500$ stocks and $D = 30$ observed characteristics, excess returns are

$$R^e_{i,t+1} = \beta_i' F_{t+1} + \sum_{j=1}^{100} \theta_{j,t} f_j(Z_{i,t}) + \epsilon_{i,t+1}. \tag{32}$$

Twenty latent characteristics drive candidate predictors and ten form an independent noise block. Each block follows a stationary Gaussian AR(1) with persistence 0.97, unit marginal variance and correlation 0.6 within five-coordinate groups. Observed characteristics are its componentwise hyperbolic tangent. A design-seeded library contains normalized linear functions, saturating functions and interactions, all bounded by one.

There are 15 persistent, 10 weak, 10 decay and 10 revive functions, together with 40 independent structural-noise functions and 15 correlated proxies. Noise functions use only the independent characteristic block. Each proxy combines 0.9 times a predictor with 0.1 times an independent noise function. All 55 structural nulls have exactly zero coefficient and zero coefficient innovation, while their characteristics continue to vary.

A single symmetric two-state Markov chain starts in state zero and switches with daily probability 1/1008. Stress raises volatility. A first-stress indicator switches decay targets permanently to zero; revive targets are high in normal states and low in stress. Predictive coefficients follow a projected AR(1) with half-life 126 days, bounded symmetric innovations and caps fixed in configuration. No seed is selected for having a particular regime history.

The four factor shocks and stock-specific shocks are independent standardized Laplace variables. Normal-state factor standard deviations are (.009, .004, .004, .004) and stock-specific standard deviation is .012; stress multiplies them by 1.5. Factor means are zero and fixed stock betas are bounded by $(1.5, 1, 1, 1)$ in absolute value. For function values $z_{ij,t}$, the common sleeve weights are

$$P_{ij,t} = \frac{z_{ij,t} - N^{-1}\sum_l z_{lj,t}}{\max\{\sum_l |z_{lj,t} - N^{-1}\sum_k z_{kj,t}|, 10^{-12}\}}, \qquad A_{t+1} = P_t' R^e_{t+1}. \tag{33}$$

Each sleeve is dollar neutral and has gross leverage at most one. Sleeves are not fully factor neutralized. All investible algorithms receive realized sleeve returns and public risk caps; the extension additionally uses current public function values and sleeve exposures. Realized coefficients, regimes and exact conditional moments are confined to the evaluator and oracle.

9.1 A public conditional moment certificate

Suppose both portfolios have conditional return second and fourth moments bounded by m_2, m_4 and costs bounded by C_{max}. Then

$$\mathbb{E}[Y_t^2 \mid \mathcal{F}_{t-1}] \le 12(m_2 + \gamma^2 m_4/4 + C_{max}^2) = \nu^2, \qquad C_{max} = 2cL + 2\eta\bar{\Lambda}L^2. \tag{34}$$

This follows from $U^2 \le 3(r^2 + \gamma^2 r^4/4 + C^2)$ and $(U_B - U_S)^2 \le 2U_B^2 + 2U_S^2$.

Let m bound absolute conditional portfolio mean and v bound variance using the declared coefficient caps, stock beta caps, maximum volatility and gross leverage. Independent standardized Laplace shocks have fourth cumulant three, so one may take $m_2 = m^2 + v$ and $m_4 = m^4 + 6m^2v + 6v^2$. These public quantities do not reveal a realized hidden coefficient or regime. The resulting constant is deliberately conservative. A sample variance is not substituted for it. The ratio of the certificate to true score second moments is reported to diagnose power.

9.2 Benchmarks and evaluation

All Signals optimizes over the entire library. Greedy uses the same search and accepts a positive mean score without a test threshold. Repeated-HAC-p uses the same policy comparisons and repeated annual one-sided normal p-values, with Bartlett long-run variance and bandwidth $\lfloor 4(n/100)^{2/9} \rfloor$. Its repeated testing is uncorrected and finite-sample nominal validity is not claimed. The E-process method uses (10). Oracle uses true current moments with identical costs and constraints, without future shocks. It maximizes one-period conditional utility, not pathwise wealth. A separate oracle matched to each method's actual state supplies implementation regret.

The primary outcome is mean OOS utility. Secondary outcomes are net wealth, conventional and HAC-adjusted Sharpe, drawdown, costs, turnover, inactivity and selected support size. A variance-zero Sharpe is undefined. Net wealth is absorbed at zero on insolvency; failed paths are retained. Structural discovery and conditional economic quality are reported separately. Two consecutive favorable annual economic comparisons define exploratory evaluator events. Those legacy event logs condition on survival of an unchanged comparison; rapid accepted moves can close the comparison before a second block exists. They therefore do not identify comparable detection-delay distributions and are not used as evidence of detection performance. A future delay study must continue the relevant counterfactual policies after their comparisons close. These path-based labels also do not define an ex ante type-I-error calibration experiment.

All methods share each simulated market. Uncertainty about performance uses independent paired seeds, not individual daily observations. Smoke runs test software with reduced dimensions. Pilot and final evaluation use disjoint seed pools with full dimensions; the final design calls for 500 new seeds. Execution status is reported explicitly below.

10 Executed results and limitations

The executed full-dimension pilot contains 3 independent seeds, with $N = 500$, $p = 100$, $h = 252$ and 15 years per seed. These are pilot results, not the planned 500-seed final evaluation. Three separate reduced-dimension smoke seeds exercise the software only.

Method	Utility×h	Net Sharpe	Moves	Inactive
All Signals	0.04685	4.078	0.00	0.000
Oracle	0.05601	4.915	0.00	0.000
Greedy	0.05099	3.951	9.33	0.071
Repeated-HAC-p	0.04335	3.092	4.00	0.071
E-process	0.00000	NA	0.00	1.000

Table 1: Means across executed pilot seeds. Utility is mean daily utility rescaled by h, not an annual certainty equivalent. Inactive paths have undefined Sharpe.

The public bound is $\nu^2 = 0.0132148$. The largest current annual log evidence is 0.006575, compared with $\log 20 = 2.995732$. The small number of seeds is insufficient for a reliable ranking of methods. The conservative certificate and annual opportunity cost must be assessed before any assertion of economic advantage.

Separate controlled statistical diagnostics use 10,000 replications and 1600 observations. Under a predictable heteroskedastic conditional-mean-zero law, the adaptive e-process crosses at rate 0.0036 (Wilson interval [0.0026, 0.0050]). The repeated uncorrected Bartlett-HAC normal test crosses at rate 0.1894. The latter combines finite-sample approximation with repeated testing; these procedures therefore do not have matched overall type-I error. This is an individual-episode calibration experiment, not a financial-market performance result. Positive constant-mean experiments compare observed power and certificate regret with T2 bounds.

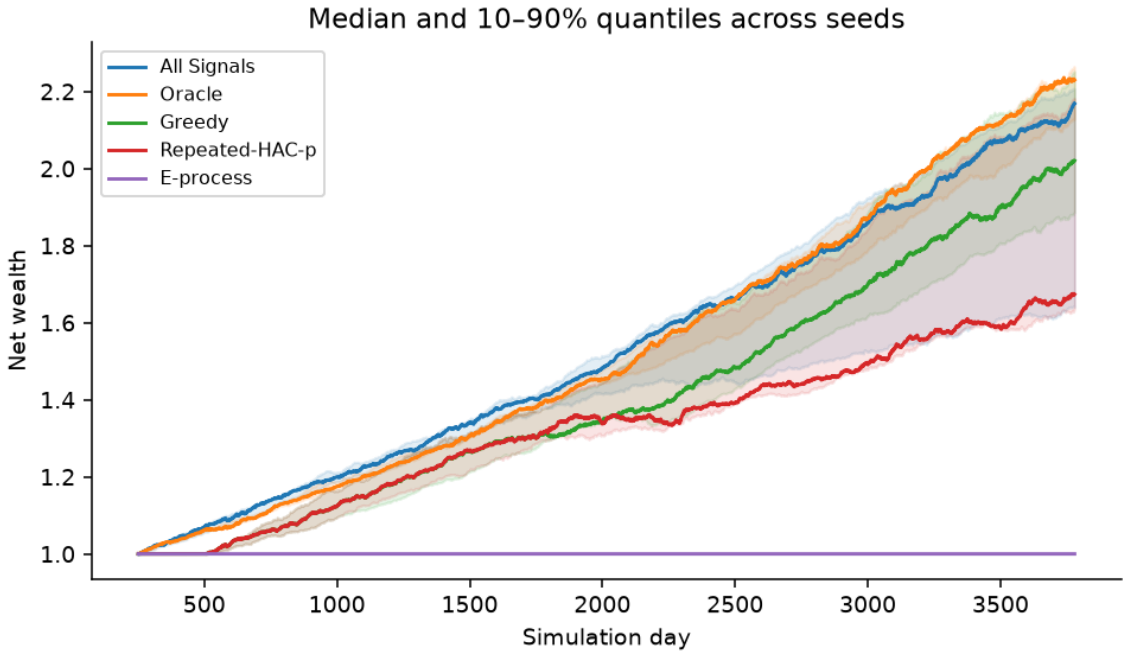


Figure 1: Net wealth median and 10–90 percent quantiles across the executed seeds. Each method uses identical market observations within a seed.

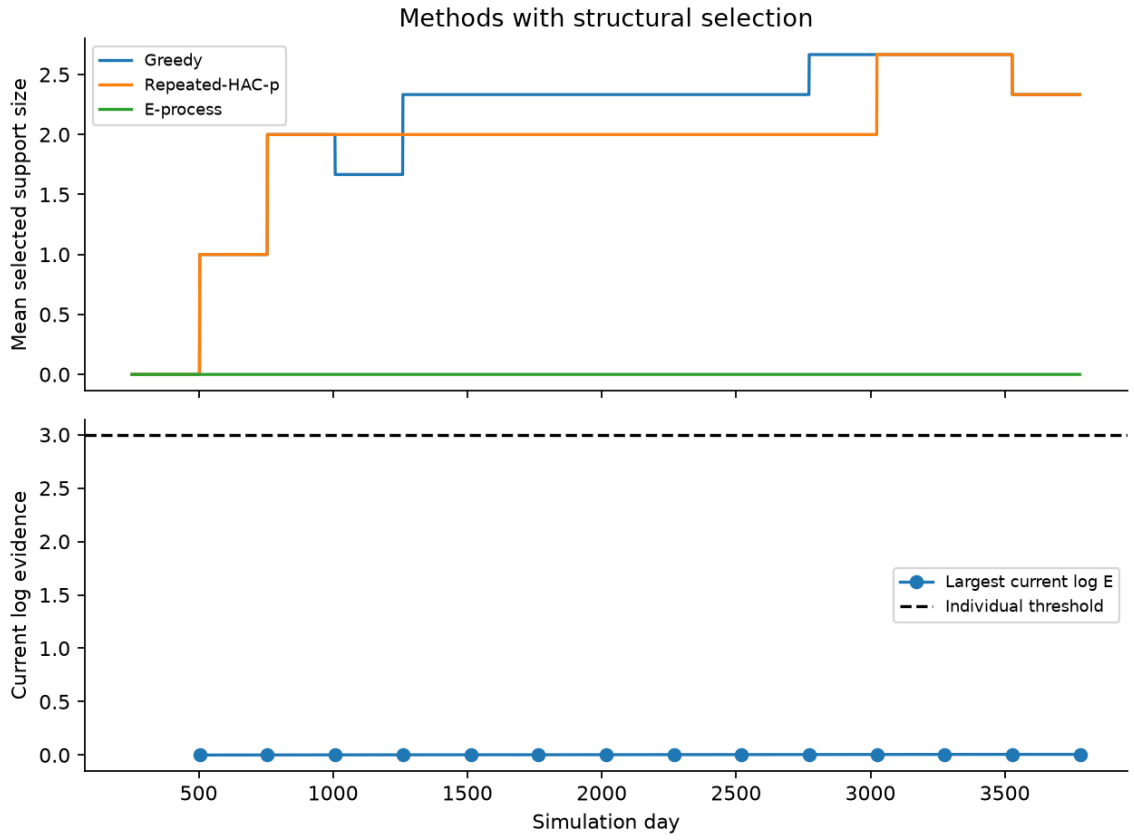


Figure 2: Selected support size for the three search methods and largest current annual E-process evidence. All Signals and Oracle always permit all 100 signals. The threshold is individual; the search has no global 5 percent guarantee.

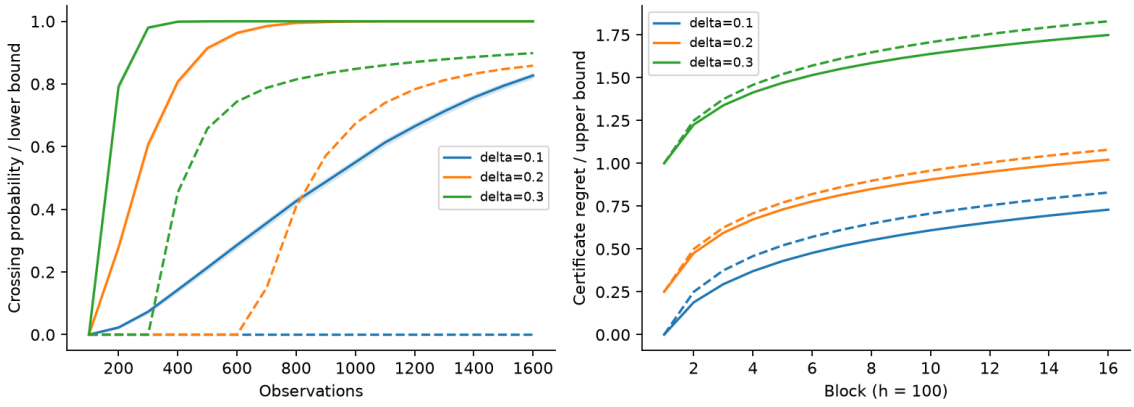


Figure 3: Controlled constant-mean statistical experiments: empirical adaptive power and certificate regret (solid), and theoretical bounds (dashed). These experiments satisfy T2 rather than the regime-changing financial model.

11 Declared extension: observable geometry and corrected tail betting

This section develops an exploratory extension after the baseline pilot. The baseline and its inactive portfolios remain reported unchanged. The extension uses stronger moment information, and its first-entry experiment does not establish the performance of a complete adaptive strategy. Linear betting factors and their mixtures belong to the existing testing-by- betting literature [5]; the contribution here is an explicit policy-moment envelope and a bias-corrected specialization, not a claim to have invented linear betting or mixtures.

11.1 A public envelope without hidden signal labels

Let Z_t^{fun} be the $N \times p$ matrix of observable function values and P_t the observable sleeve holdings before the next stock return R. For a stock allocation $q = P_t w$, conditional return mean is $q' Z_t^{fun} \theta_t$. Replace knowledge of the true support by the public relaxation

$$\Theta = \{\theta \in \mathbb{R}^p : 0 \le \theta_j \le u,\ \textstyle\sum_j \theta_j \le T\}.$$

Here u is the largest coefficient cap and T the sum of group caps; every signal identifier receives the same cap. Knowing these two aggregate bounds does not identify which 55 coefficients are zero.

For a vector a, the support function $h_\Theta(a)$ fills the largest positive coordinates of a at rate u until budget T is exhausted, including a fractional final coordinate. Thus

$$m(q) = \max\{h_\Theta((Z_t^{fun})'q), h_\Theta(-(Z_t^{fun})'q)\}$$

bounds the absolute conditional mean. This is a deterministic linear-program bound, not a fitted mean or an oracle coefficient.

Suppose factor loadings satisfy public componentwise intervals $\beta_{ik} \in [c_k - r_k, c_k + r_k]$, factor scales are at most $\bar\sigma_k$ and idiosyncratic scales at most $\bar\sigma_e$. Independence of the standardized Laplace shocks gives the variance bound

$$v(q) = \sum_k \bar\sigma_k^2 (|c_k \mathbf{1}'q| + r_k \|q\|_1)^2 + \bar\sigma_e^2 \|q\|_2^2. \tag{35}$$

The last term retains cross-sectional diversification rather than replacing the stock L_2 norm by gross leverage. The generator implies intervals $[.5, 1.5]$ for the first beta and $[-1, 1]$ for the other three. The individual realized beta vector remains hidden. Risk scales cover the larger of the normal and stress levels. Dollar neutrality cancels the common center of the first loading interval.

For $x = \mu + h'\zeta$ and independent standardized Laplace shocks, put $\|h\|_2^2 \le v$, $|\mu| \le m$. For even $\ell \le 8$ define

$$H_\ell(m, v) = \sum_{k=0}^{\ell/2} \binom{\ell}{2k} m^{\ell-2k} (2k)! (v/2)^k. \tag{36}$$

Then $\mathbb{E}x^\ell \le H_\ell(m, v)$. To see this, the even Taylor coefficient of $\prod_j (1 - h_j^2 z^2/2)^{-1}$ is bounded by the corresponding coefficient of $(1 - vz^2/2)^{-1}$: each monomial in the former occurs with a multinomial coefficient at least one in the latter. Hence $\mathbb{E}(h'\zeta)^{2k} \le (2k)!(v/2)^k$; binomial expansion supplies (36). No moment-generating assumption is imposed directly on the quadratic utility score.

For two policies, write $d = q_B - q_S$, $s = q_B + q_S$ and predictable $D = C_B - C_S$. Their score is $Y = d'R - \gamma(d'R)(s'R)/2 - D$. Let $H_{\ell,d} = H_\ell(m(d), v(d))$ and similarly for s. Minkowski

and conditional Cauchy–Schwarz give

$$V_2 = \left\{ H_{2,d}^{1/2} + \frac{\gamma}{2}(H_{4,d}H_{4,s})^{1/4} + |D| \right\}^2, \tag{37}$$

$$V_4 = \left\{ H_{4,d}^{1/4} + \frac{\gamma}{2}(H_{8,d}H_{8,s})^{1/8} + |D| \right\}^4, \tag{38}$$

as conditional bounds on $\mathbb{E}Y^2$ and $\mathbb{E}Y^4$. For example, $\|(d'R)(s'R)\|_{L_4} \le (\mathbb{E}(d'R)^8\mathbb{E}(s'R)^8)^{1/8}$. These computations may be verified conditional on the simulator's larger filtration; because the bounds use only public pre-return quantities, the tower property gives the same envelopes for the learner's filtration. If targets coincide but prior states differ, $d = 0$ and these formulas give exactly D^2, D^4.

11.2 Bias-corrected lower winsorization

For $p > 1$, $B > 0$ and $x \ge 0$,

$$(x - B)_+ \le \frac{(p-1)^{p-1}}{p^p} \frac{x^p}{B^{p-1}}. \tag{39}$$

The maximum of $(x - B)/x^p$ for $x \ge B$ is attained at $x = pB/(p-1)$, which proves both the inequality and its sharp constant. For predictable envelopes $V_{2,t}, V_{4,t}$ define

$$b_t = \min\left\{ \frac{V_{2,t}}{4B_t}, \frac{27V_{4,t}}{256B_t^3} \right\}, \qquad X_t = \max\{Y_t, -B_t\} - b_t. \tag{40}$$

Only the downside is winsorized; upside may remain unbounded.

Theorem 10 (A corrected-tail e-process for the original utility null)**.** *Suppose $B_t > 0$ is predictable and the two moment envelopes are valid. Under $\mathbb{E}[Y_t \mid \mathcal{F}_{t-1}] \le 0$, the factors*

$$Q_t = 1 + \lambda_t X_t, \qquad 0 \le \lambda_t \le \rho/(B_t + b_t), \quad 0 < \rho < 1,$$

have conditional expectation at most one and satisfy $Q_t \ge 1 - \rho > 0$. Their product is a nonnegative test supermartingale for the original null. Any fixed convex mixture of these products has the same guarantee.

Proof. The increase caused by winsorization is $(-B_t - Y_t)_+$. Apply (39) to $(-Y_t)_+$, using either moment bound, to obtain

$$\mathbb{E}[(-B_t - Y_t)_+ \mid \mathcal{F}_{t-1}] \le b_t.$$

Consequently $\mathbb{E}[X_t \mid \mathcal{F}_{t-1}] \le \mathbb{E}[Y_t \mid \mathcal{F}_{t-1}] \le 0$. Since $X_t \ge -B_t - b_t$, the stated bound on λ_t guarantees positivity. Predictability gives $\mathbb{E}[Q_t \mid \mathcal{F}_{t-1}] \le 1$; multiplication and linearity prove the product and mixture statements. □

Clipping without subtracting the bias can reverse the null mean. For example, a mean-zero distribution with a rare large negative observation becomes positively biased after lower clipping. The correction is therefore part of the test, not an optional robustness adjustment. The fourth-moment route requires eighth return moments, a stronger assumption than baseline T1. A sample fourth moment alone does not supply this certificate.

11.3 A power certificate and the mixture price

Suppose under an alternative that $\mathbb{E}[Y_t \mid \mathcal{F}_{t-1}] \geq \delta_t$. Because winsorization increases the score, $\mathbb{E}X_t \geq \delta_t - b_t$ conditionally. Also $\mathbb{E}[X_t^2 \mid \mathcal{F}_{t-1}] \leq (\sqrt{V_{2,t}} + b_t)^2 =: W_t$. For $z \geq -\rho$,

$$\log(1+z) \geq z - \frac{z^2}{2(1-\rho)}, \qquad \frac{1}{1+z} \leq 1 - z + \frac{z^2}{1-\rho}.$$

The second inequality follows from $(1+z)^{-1} = 1 - z + z^2/(1+z)$; the first follows by differentiation. Thus conditional expected log growth is at least

$$\lambda_t(\delta_t - b_t) - \frac{\lambda_t^2 W_t}{2(1-\rho)}.$$

For a fixed mixture component, put $g_t = \lambda_t(\delta_t - b_t) - \lambda_t^2 W_t/(1-\rho)$. The inverse-capital process compensated by $\exp(\sum g_t)$ is a nonnegative supermartingale. If $\sum_{t \leq hK} g_t \geq G_K$ almost surely, the same endpoint Markov argument as T2a gives the mixture power bound

$$\mathbb{P}\left(\max_{k \leq K} E_{hk}^{mix} \geq 1/\alpha\right) \geq \left[1 - \frac{e^{-G_K}}{\alpha\omega}\right]_+, \tag{41}$$

where ω is that component's fixed mixture weight. This is a lower certificate under explicit alternative assumptions, not an exact power optimum. Pathwise $\log E_t^{mix} \geq \log E_t^{component} + \log \omega$; nine equally weighted components cost at most $\log 9$ relative to one.

11.4 A local information cost of moment-only certification

Conservative moment information can impose a genuine cost even when an alternative generates an entirely stable positive score. The following two-point indistinguishability argument is local to that benign alternative; it is not a minimax rate over all positive-mean distributions. Such rare-event constructions are standard tools in heavy-tail inference; see the broader discussion in [6].

Proposition 11 (A rare-loss lower bound)**.** *Consider any possibly randomized sequential rule with probability at most α of ever rejecting under every i.i.d. law having nonpositive mean, second moment at most v_2 and fourth moment at most v_4. Let P_δ put mass one at $\delta > 0$. For any $0 < \varepsilon < 1$ satisfying*

$$\delta^2 \frac{1-\varepsilon}{\varepsilon} \leq v_2, \qquad \delta^4 \left\{1 - \varepsilon + \frac{(1-\varepsilon)^4}{\varepsilon^3}\right\} \leq v_4, \tag{42}$$

the probability of rejection by observation n under P_δ is at most $\min\{1, \alpha(1-\varepsilon)^{-n}\}$. A necessary condition for power at least $1-\beta$ by n is

$$n \geq \frac{\log\{(1-\beta)/\alpha\}}{-\log(1-\varepsilon)}. \tag{43}$$

Proof. Take an i.i.d. null Q with mass $1-\varepsilon$ at δ and mass ε at $-\delta(1-\varepsilon)/\varepsilon$. Its mean is zero and its moments are exactly the two expressions in (42). With probability $(1-\varepsilon)^n$, its first n observations are all δ. On that event the observed history is identical to the history under P_δ; the rule's independent randomization has the same law. Thus, for rejection event A_n,

$$\alpha \geq Q(A_n) \geq (1-\varepsilon)^n P_\delta(A_n).$$

Rearranging proves both statements. □

For example, if $\varepsilon = \max\{\delta^2/v_2, (2\delta^4/v_4)^{1/3}\} \le 1/2$, both inequalities hold. Indeed the fourth moment is at most $2\delta^4/\varepsilon^3$. With a second-moment restriction alone one may use $\varepsilon = \delta^2/(v_2+\delta^2)$. For small δ, these constructions give local necessary horizons of orders $v_2\delta^{-2}$ and $v_4^{1/3}\delta^{-4/3}$, respectively, up to the logarithmic confidence factor. With both restrictions, the displayed construction has order the smaller of these two expressions.

The corrected-tail construction attains the corresponding local order at a predeclared design effect. For a single known pth-moment bound M_p, put $\kappa_p = (p-1)^{p-1}/p^p$ and choose

$$B = (2\kappa_p M_p/\delta)^{1/(p-1)}, \quad b = \delta/2, \quad \lambda = \rho/(B+b), \quad 0 < \rho < 1.$$

This is a valid test by the clipping proof, and under the deterministic alternative its capital is exactly

$$E_n = \left(1 + \frac{\rho\delta}{2(B+\delta/2)}\right)^n.$$

Consequently its crossing horizon is of order $M_p^{1/(p-1)}\delta^{-p/(p-1)}\log(1/\alpha)$ as $\delta \to 0$. Here the design effect is fixed before testing; this calculation does not license fitting it to the observations used to establish significance. It is an order comparison at a deterministic alternative, not an optimality claim for the nine-component implementation or the changing financial DGP. The two-point null need not belong to the fixed Laplace market: the lower bound applies to guarantees over a full moment class, and can be avoided by legitimately exploiting stronger distributional information.

Corollary 12 (An opportunity cost of certification in a single gate)**.** *Consider the costless single-candidate subcase, with an incumbent of zero utility and deterministic candidate utility δ per period. A fund remains with the incumbent until the first rejection time τ, then deploys the candidate in the next period. Under the assumptions of the rare-loss proposition, its expected cumulative utility loss over T periods relative to immediate deployment is at least*

$$\delta \sum_{n=0}^{T-1} \left[1 - \alpha(1-\varepsilon)^{-n}\right]_+. \tag{44}$$

Proof. Under the deterministic alternative, lost utility is exactly $\delta \min(\tau, T)$. For an integer-valued stopping time, $\mathbb{E}\min(\tau, T) = \sum_{n=0}^{T-1} \mathbb{P}(\tau > n)$. The preceding proposition bounds each complementary crossing probability, which proves (44). □

This is a single-comparison result in a costless subcase; it neither provides a regret bound for the uncorrected search over 100 signals nor treats the additional trading-state costs of the financial experiment. It isolates a mechanism: evidence waiting can have economic cost even before frictions are introduced. It does not assert that the observed twelve-year waits are necessary in the Laplace market.

The proposed mechanism experiment fixes scales $c \in \{2, 4, 8\}$, $B_t = cV_{4,t}^{1/4}$, and fractions $\rho \in \{.25, .5, .75\}$ before using new seeds 40001–40020. It retains all nine components in the mixture. Each candidate remains a single-sleeve shadow policy against the empty reference, and all test arms use exactly the same realized scores. Only annual first-entry feasibility is evaluated. Any observations from these new markets are exploratory evidence for this declared extension; they neither replace the old pilot nor constitute a full strategy or final-study result.

11.5 Executed first-entry mechanism study

The executed mechanism study contains 20 fresh markets from seeds 40001–40020, using $N = 500$, $p = 100$ and the 15-year DGP of the baseline. The four arms share every candidate

shadow policy and every realized utility score. All 100 comparisons remain under observation to the common horizon, including after crossing. These are fixed-reference mechanism experiments, not twenty new full-strategy backtests.

Arm	Entry markets	Before end	Median year	Max. log E
Catoni–baseline	0/20	0/20	NA	0.008
Catoni–geometry	0/20	0/20	NA	0.555
Tail–uniform	0/20	0/20	NA	0.710
Tail–geometry	19/20	18/20	12.0	4.918

Table 2: Annual eligible first-entry events. "Before end" excludes a first crossing at the terminal revision. Median year is conditional on crossing; censored markets remain in the entry-rate denominator. No actual post-entry fund path is simulated.

The corrected-tail geometric arm has 19 entry markets out of 20; the Wilson 95% interval for this market-level fraction is [0.764, 0.991]. It is a search outcome over 100 candidates, not an individual-test power estimate or a globally controlled rejection probability. One first certification occurs only at the terminal revision; 18 markets have any remaining market observations after certification. Neither geometric Catoni nor uniform-moment corrected-tail betting alone produces an entry in these 20 markets. The combined change improves statistical feasibility but does not remove the substantial cost of waiting.

4 selected first policies use structural proxies whose own coefficient is fixed at zero in the generator. Their conditional shadow gains are positive on the last evaluated date before selection. This illustrates the distinction between structural and economic relevance; it is not a false-discovery calibration result. These conditional gains refer to the shadow state, not a claim that the fund can acquire the shadow positions without paying its actual entry cost.

An additional post-hoc action audit replays all selected histories, refits with then-available observations and computes a hypothetical next-period entry from the fund's actual zero allocation. It values that action with true current model moments after selection, without drawing the next return. 18 of 18 nonterminal entries have positive conditional utility after actual entry costs. The mean is 0.957 basis points of daily utility, compared with 2.457 for the continuing shadow; the actual entry cost is 1.500 basis points. This conditional action valuation is descriptive and supplies no post-entry fund path or new guarantee of current profitability.

Separate predictable skew-null diagnostics use 10,000 independent paths and 2,000 observations. The corrected mixture crosses at rate 0.0068 (Wilson interval [0.0054, 0.0086]). An invalid single bettor ($B_t = V_{4,t}^{1/4}$, fraction .75) without bias correction crosses at rate 0.9966. This is an invalidity demonstration; its configuration differs from the mixture, so it is not a matched power comparison.

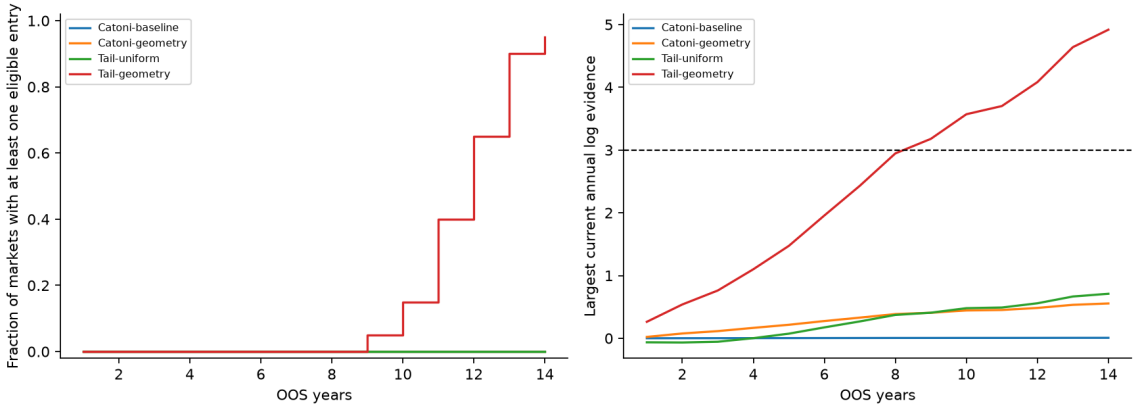


Figure 4: First-entry feasibility across twenty complete fresh markets. Every arm uses the same scores. Curves include terminal test events, with no claim of post-entry trading performance.

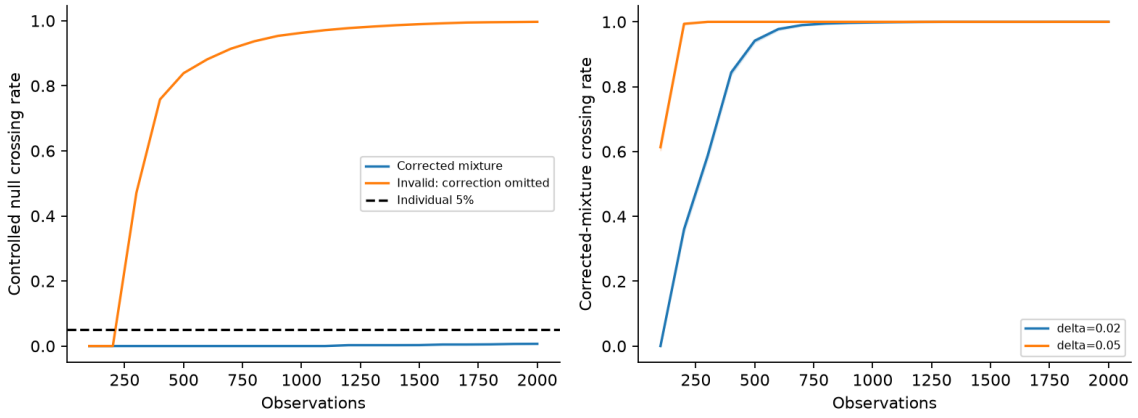


Figure 5: Controlled statistical experiment under a predictable skewed null and two positive-mean alternatives. The invalid negative control is a single uncorrected bettor; it is not a matched power comparison with the corrected mixture. Shading shows Wilson intervals across independent paths.

11.6 What a search-wide guarantee would cost

The experiments above use an individual level of 0.05. A global budget is possible, but it changes the decision rule and its waiting cost. The following is a standard spending argument, included to make that distinction explicit.

Proposition 13 (Episode spending)**.** *Enumerate adaptively opened episodes by $k \geq 1$, assign deterministic budgets $a_k > 0$ with $\sum_k a_k \leq \alpha$, and reject episode k only when its capital reaches $1/a_k$. Fix a data-generating law P and a set I_0 of episode indices whose conditional null and moment assumptions hold P-almost surely throughout their active dates. An unopened episode is never rejected. Then*

$$P\{\text{some episode in } I_0 \text{ is rejected}\} \leq \alpha.$$

The claim holds for either of the valid capital constructions in this paper, including adaptive opening, stopping and closing of comparisons.

Proof. Conditional Ville's inequality at the opening time bounds the rejection probability of each valid null episode by a_k. Stopping its capital at closure preserves this bound. Taking expectations and a countable union bound gives $\sum_{k\in I_0} a_k \le \alpha$. Restricting rejections further by the positive-history filter or annual priority rule can only reduce this event. No independence between episodes is required. □

This controls rejection of valid episode nulls, not selection of a policy with negative gain on the current date. The latter remains outside T1, as the earlier sign-change counterexample shows. In particular, an ex post negative annual gain is not by itself a label for membership in I_0.

For illustration, reserve half the total budget for the initial 100 episodes, so each receives $a_k = \alpha/200$, and allocate the other half summably to all later episodes. The first-entry threshold becomes $200/\alpha = 4000$, or $\log E \ge 8.294$, rather than $\log E \ge 2.996$. This illustration was examined after the mechanism study; it is not a predeclared simulated comparator. The largest annual log capital in that complete fixed-reference study is 4.918. Consequently none of its 20 markets would produce a first entry under this particular spending rule. Until the first entry, the fixed-empty-reference policies and scores are unchanged, so this is an exact replay implication and does not require a counterfactual post-entry fund path. Other allocations can give different results; this example is not an optimal-budget theorem.

In the stationary power certificates, replacing α by a_k increases the required log evidence by $\log(\alpha/a_k)$. The rare-loss necessary horizon similarly replaces $\log\{(1-\beta)/\alpha\}$ by $\log\{(1-\beta)/a_k\}$. These identities explain a further information cost of protecting a search. They do not quantify actual delay in the changing financial DGP or establish that the uncorrected search has global error exactly equal to its nominal individual level.

12 From first certification to a traded fund

The fixed-reference experiment cannot establish fund performance after entry. We therefore freeze a separate full-strategy study, preserving every earlier result. It uses the same financial DGP, estimation windows, turnover/impact parameters, leverage and annual Forward–Backward–Swap10 priority. Its six methods are All Signals, Greedy, repeated HAC, constant-bound Catoni, geometric corrected-tail betting and the one-period Oracle. All four selection methods start empty; each actual fund pays its own costs and its performance includes all time spent waiting in cash. The Oracle's weights are constructed from current moments before drawing the return shock. It receives no future shock or coefficient path.

The tail method retains the nine scale/fraction pairs already declared. Its geometric moment bounds now use the difference and sum of general candidate and reference stock exposures, with their exact predictable cost difference. No true coefficient, regime or conditional gain enters the bets. The common episode-mean floor is 10^{-8} daily utility, ranking ties within 10^{-9} use stable signal identifiers, and the QP tolerance is 10^{-10}. Empty and single-coordinate allocations are computed exactly. These declared numerical conventions distinguish this study from the earlier positive-only baseline; all four new selection methods share them. The pilot pool, 50001–50100, was declared before the initial implementation's markets. A numerical failure in its final block for seed 50005 led us to retain the initial outputs as diagnostics and replay the same pool with corrected arithmetic: allocation differences are formed before projections, and Y is evaluated as $d(1-\gamma s/2) - D$. This preserves the exact economic score and all design parameters; it avoids erasing a tiny contrast next to a large common position. The failed seed is included in the replay and no seed is counted twice. This is a pilot software correction, not an additional independent experiment. Final seeds 60001–60500 remain separate and unobserved at protocol freeze. The subsequent expanded v2 pilot stopped at seed 50020 when its QP failed the required convergence status despite refinement. Nineteen markets had

completed. The table below remains the prespecified first-ten snapshot; the failed market is retained and the full pilot is not claimed complete.

12.1 Economic events that retain early responses

An economic opportunity starts at the end of the first annual block with positive evaluator conditional mean utility difference. It qualifies as stable only if the unchanged support pair, following its own allocation states and the common expanding-fit rule, has a positive mean in the following block. Inception-positive opportunities and subsequent sign changes are distinct. The delay has annual resolution: zero means selection at that first annual review, not instantaneous recognition of an unobserved daily change.

If selection, a competing move or shortlist withdrawal closes a comparison before its second block, evaluator-only copies of both shadow policies continue for that block. One additional evaluator year resolves pending onsets at the main horizon. The continuation's allocations, utilities and true-mean labels are evaluator outputs and never feed the learner or its betting capital. Ordinary market returns within the main horizon still update the common estimation history; the extra year is excluded from that history and from actual fund returns. Separate optimizer instances prevent evaluator queries from changing learner warm starts. This construction includes fast responses in the same stability denominator as slower responses. Confirmed events terminate at selection, a competing move, shortlist withdrawal, economic sign reversal or the administrative horizon; those causes are retained separately.

Meeting a statistical criterion differs from winning the annual ranking. We therefore report criterion detection and actual selection separately, with ENTRY, PARK, REVIVE and SWAP lifecycle labels. Within-one/three/five-year fractions require the corresponding full calendar follow-up for every onset, including successful onsets. Competing closures are not treated as independent administrative censoring. These are descriptive, method-specific opportunity populations; they are neither common causal risk sets across methods nor labels for T1's conditional null. Sparse or absent PARK/REVIVE events cannot support a claim of successful regime adaptation.

A separate deployment ledger evaluates the next selected action from the actual previous fund allocation. It compares the new and retained-support weights from the same state under next-period true moments, before drawing that period's shock. This evaluator quantity diagnoses deployment quality; the historical test does not certify it. Its horizon is one day: a negative initial gain can coexist with a positive subsequent holding value after the entry cost is amortized. It is not a classification of lifetime trade value; the full fund utility paths address performance over the study horizon. A choice made at the final review is logged as terminal and contributes no executed trade or subsequent fund performance.

12.2 Numerical verification and executed evidence

The evaluator computes general score moments by writing $d = (w_B - w_S)'A$ and $s = (w_B + w_S)'A$, so $Y = d - \gamma ds/2 - D$. For independent standardized Laplace shocks, the joint cumulant of orders (a, b) of their centered parts is zero when $a + b$ is odd and, for even $a + b = 2k \geq 2$, equals

$$\kappa_{a,b} = \frac{(2k)!}{k2^k} \sum_l h_{d,l}^a h_{s,l}^b.$$

The usual moment–cumulant recurrence then gives all terms needed for $\mathbb{E}Y^2$ and $\mathbb{E}Y^4$. Difference exposures are formed before computing moments to avoid subtracting nearly identical large fourth-order terms. Independent polynomial convolution and conditional Monte Carlo check this calculation. Actual code checks the public geometric certificates against these evaluator-only moments; they are not used to choose the certificate.

An independent arithmetic replay loads saved compact policy weights and recreates the market without loading checkpoints or test-process states. It reconstructs fund wealth, utility and costs; candidate/reference scores and costs; predictable certificates and bets; nine-component tail capitals; annual eligibility and priority selections; and counterfactual event means. This verifies numerical consistency, while proof validity, economic utility and global error control remain separate questions.

The reported full-strategy pilot snapshot contains 10 completed independent markets (0 requested snapshot markets remain incomplete). Each has 500 stocks, 100 signals, one training block and 14 out-of-sample blocks of 252 days. Independent arithmetic replay covers 10 of these completed markets. These are pilot observations; the separate 500-market final study is not asserted to be complete. Earlier baseline and fixed-reference markets, and later markets outside the specified snapshot, are not added to this count.

Method	$h\bar{U}$ (MC SE)	Mean wealth	Inactive	Mean moves
All Signals	0.04526 (0.00420)	1.920	0.000	0.00
Greedy	0.05206 (0.00277)	2.097	0.071	4.90
HAC	0.05055 (0.00200)	2.047	0.071	3.40
Catoni	0.00000 (0.00000)	1.000	1.000	0.00
Tail	0.01272 (0.00156)	1.199	0.800	1.00
Oracle	0.05787 (0.00202)	2.265	0.000	0.00

Table 3: Full-strategy pilot means. Utility is daily utility rescaled by $h = 252$, not an annual certainty equivalent. MC SE uses independent markets. Wealth includes waiting in cash and all modeled actual fund costs. Moves include terminal choices, which create no post-choice fund return.

Tail makes 10 choices (ENTRY: 10, PARK: 0, REVIVE: 0, SWAP: 0), of which 10 are executed before the horizon. Its mean inactive fraction is 0.800. Successful initial certification therefore must be assessed alongside the returns foregone during waiting. The lifecycle counts delimit what this pilot can say about parking and revival.

Method	Eligible stable events	Criterion within year	Selected within year
Greedy	732	582	32
HAC	675	438	22
Catoni	469	0	0
Tail	469	0	0

Table 4: Response-independent stable-event cohorts with a full year of calendar follow-up. Each row has its own endogenous reference policies and event population; raw counts do not identify causal cross-method detection performance. Dependent events are not treated as independent replications.

Method	Executed	Positive gain	Mean gain (bp)	Entry cost (bp)
Greedy	48	0.208	-0.395	1.066
HAC	34	0.294	-0.492	1.495
Tail	10	1.000	0.976	1.500

Table 5: Evaluator-only next-period gains from the actual previous allocation, including modeled transition costs. These descriptive outcomes concern executed decisions, exclude terminal certifications, and are not quantities certified by a historical episode rejection.

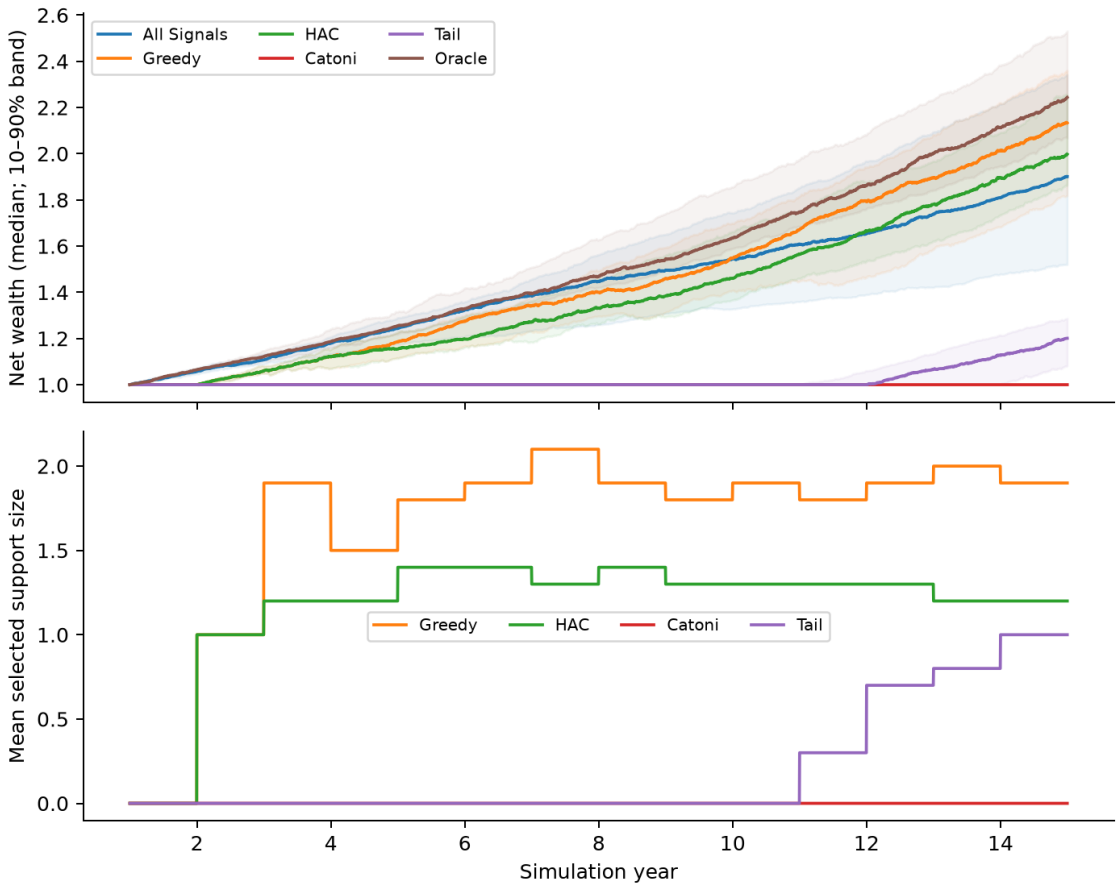


Figure 6: Actual net wealth and selected support size in the completed full-strategy pilot. Wealth bands are the 10th and 90th market percentiles; they are descriptive quantiles, not confidence intervals.

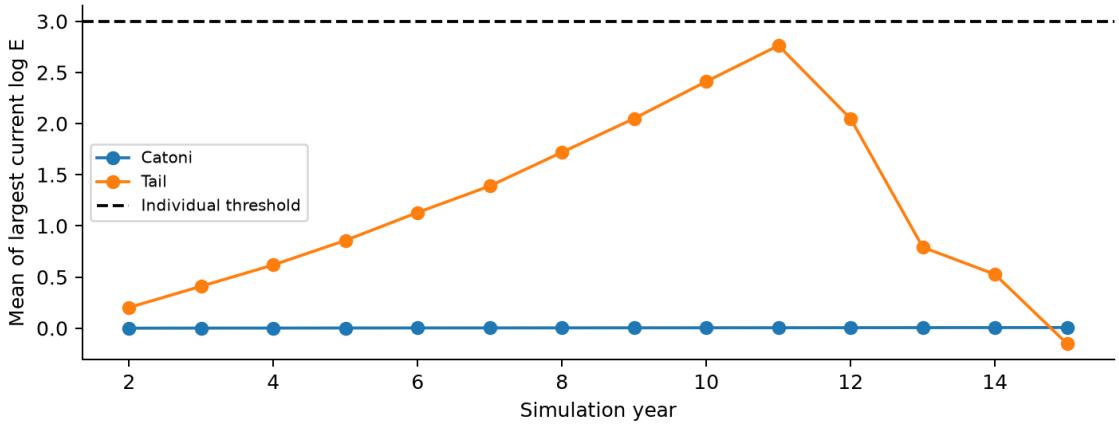


Figure 7: Mean across completed markets of the largest currently open annual log capital. Closed comparisons are not carried forward. The dashed line is the individual threshold; it does not protect the entire search.

Paired Tail-minus-reference differences in $h\bar{U}$ (95% Student MC intervals) are All Signals: -0.03255 [-0.04228, -0.02281]; Greedy: -0.03935 [-0.04386, -0.03484]. These exploratory intervals use independent paired markets and are unadjusted across comparisons; they do not

give guarantees for a new financial law. The reproducibility tables retain every benchmark contrast.

All Signals permits every candidate but does not hold all of them: its mean number of positions exceeding 10^{-6} in absolute sleeve weight is 4.80. This descriptive count is computed after the run and changes no allocation or test. The optimizer already produces a sparse portfolio, so it is a substantive baseline for the value of an additional statistical support filter. No fixed per-signal research cost is charged in this design.

Catoni executes a move in 0 of 10 markets (Wilson 95% interval for the market-level fraction [0.000, 0.278]). A zero observed fraction does not establish zero probability of future entry.

13 Discussion

The central economic distinction is between a direction that can help an informed optimizer and a policy that helps when estimated and traded. T3 characterizes the former; T4 and the separate state accounts connect it to the latter. Sequential evidence addresses a further question: whether observed utility differences justify rejecting an episode-wide conditional null. These questions remain distinct even when their calculations share data.

Several obstacles remain before a strong publication claim is warranted. The baseline moment certificate prevents entry in the executed pilot; the declared higher-moment extension makes first certification feasible in new markets but still requires substantial waiting. The separate full-strategy study measures post-entry performance and opportunity costs; a small executed pilot does not establish practical superiority. The annual calendar restricts the number of experiments that can become positions, and the episode null does not directly express a current-regime profitability claim. No multiplicity guarantee protects the whole selection process. A complete final simulation and a broader prior-art review are necessary before claiming either practical superiority or methodological novelty. Empirical applications are outside this paper's current scope.

A Conditional moments used only by the evaluator

Let $x = \mu_x + h_x'\zeta$ and $y = \mu_y + h_y'\zeta$, where the components of ζ are independent, symmetric, variance one and fourth moment six. Write $v_x = h_x'h_x$, $v_y = h_y'h_y$ and $v_{xy} = h_x'h_y$. Then

$$\mathbb{E}x^2 = \mu_x^2 + v_x, \qquad \mathbb{E}x^3 = \mu_x^3 + 3\mu_x v_x,$$
$$\mathbb{E}x^4 = \mu_x^4 + 6\mu_x^2 v_x + 3v_x^2 + 3\sum_l h_{xl}^4,$$
$$\mathbb{E}[x^2y] = \mu_x^2\mu_y + \mu_y v_x + 2\mu_x v_{xy},$$
$$\mathbb{E}[xy^2] = \mu_x\mu_y^2 + \mu_x v_y + 2\mu_y v_{xy},$$
$$\mathbb{E}[x^2y^2] = \mu_x^2\mu_y^2 + \mu_x^2 v_y + \mu_y^2 v_x + 4\mu_x\mu_y v_{xy} + v_x v_y + 2v_{xy}^2 + 3\sum_l h_{xl}^2 h_{yl}^2.$$

These follow by expanding products and keeping only even multiplicities of each independent centered shock. With $D = C_B - C_S$, $L = x - y$, $Q = x^2 - y^2$,

$$\mathbb{E}Y = \mathbb{E}L - \gamma\mathbb{E}Q/2 - D,$$
$$\mathbb{E}Y^2 = \mathbb{E}L^2 + \gamma^2\mathbb{E}Q^2/4 + D^2 - \gamma\mathbb{E}[LQ] - 2D\mathbb{E}L + \gamma D\mathbb{E}Q,$$
$$\mathbb{E}L^2 = (\mu_x - \mu_y)^2 + v_x + v_y - 2v_{xy},$$
$$\mathbb{E}Q^2 = \mathbb{E}x^4 + \mathbb{E}y^4 - 2\mathbb{E}[x^2y^2],$$
$$\mathbb{E}[LQ] = \mathbb{E}x^3 + \mathbb{E}y^3 - \mathbb{E}[xy^2] - \mathbb{E}[x^2y].$$

The implementation verifies these expressions against an independent conditional Monte Carlo sample. Identical policies and states give exactly $Y = 0$, a separate cancellation check.

B Reproducibility and numerical conventions

Versioned configurations, source hashes, installed versions and seed manifests identify each run. Unfinished runs resume at atomic annual checkpoints without counting a score twice; completed weight, score and event ledgers are retained. The learner is deterministic given its observed history. The market, statistical diagnostics and independent moment checks use distinct random streams. Original input provenance is preserved in the accompanying repository.

The optimizer solves a convex quadratic program with epigraph variables for turnover and gross leverage. It records primal and dual residuals and the duality gap. Exact zero-trade cases have a sufficient subgradient check. Weights, realized score histories and decisions are tested for invariance to future-data perturbations. Stable identifiers govern tie breaking, and the candidate shortlist is tested under a consistent permutation of columns. No old empirical or simulated result enters this manuscript.

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